Task 5 Cybercrime Awareness Case Study & Prevention Guide

PART-A Case Study

Topic: UPI/Online Payment Fraud

1. What is UPI Fraud?

UPI (Unified Payments Interface) fraud is a category of cybercrime in which criminals use deception, social engineering, and technical manipulation to steal money from victims through India's digital payment ecosystem. Since UPI transactions are instant and largely irreversible, fraudsters exploit both the speed of the system and the limited awareness of users. According to India's Ministry of Finance, UPI scams caused losses of ₹485 crore across 6.32 lakh reported cases in FY 2024–25 alone — and experts believe the true number is far higher, as a majority of victims do not report incidents out of shame or distrust in the process.

₹485 Crore Losses in FY 2024–25

6.32 Lakh Reported cases, FY25

1 in 5UPI users affected (Local Circles)

51%Victims never reported

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2. A Realistic Scenario — "The Fake Scholarship Refund"

Arjun, a 19-year-old first-year B.Tech student at a university in Bhopal, receives a WhatsApp message from an unknown number claiming to be from the "National Student Scholarship Cell." The message congratulates him on qualifying for a ₹5,000 scholarship refund and provides a customer care number to "process the credit." Excited and trusting, Arjun calls the number.

3. How It Happens — Step by Step

1. **The Hook (Fake SMS / WhatsApp):** Arjun receives a convincing message with official-sounding language, a fake reference number, and a logo resembling a government scheme. He is told to "act within 24 hours or the amount will lapse."

2. **Building Trust (Impersonation Call):** The fraudster, posing as a "scholarship officer," speaks in a formal, official tone. He asks Arjun to verify his UPI ID and confirms a ₹5,000 "incoming transfer" is ready. The fraudster says he needs to "link" Arjun's account first.

3. **The Trap (Collect Request):** The fraudster sends a UPI "Collect Request" — which debits the recipient's account, not credits it. He tells Arjun, "Just approve this request to receive your money." Arjun enters his UPI PIN, believing he is accepting funds. Instead, ₹4,999 is immediately debited from his account.

4. **The Escalation (OTP Extraction):** If Arjun questions the debit, the fraudster tells him it is a "verification charge" and asks for the OTP sent to his phone to "reverse the deduction." Sharing the OTP gives the fraudster full access to complete a second, larger transaction.

5. **Disappearance:** The number is switched off within minutes. The UPI transaction, being instant, cannot be reversed through normal channels. The money is gone.

4. Who Is Usually Targeted?

College students are prime targets for UPI fraud. They are new to financial independence, often unfamiliar with banking norms, and emotionally susceptible to urgency-based messaging (scholarships, fee refunds, part-time job offers). According to a 2024 survey by Local Circles, 40% of UPI fraud victims admitted to clicking a payment link to "accept" funds — only to find their account debited. A 2024 research study published in IJRCMS found that 11.8% of surveyed UPI users had already been victims, with younger, first-time digital payment users being disproportionately affected.

5. Consequences

The consequences of UPI fraud extend well beyond immediate financial loss. Victims face direct monetary damage — often their entire month's allowance or savings. Psychologically, the experience causes significant distress, shame, and erosion of trust in digital systems. Academic performance may suffer as students deal with the aftermath. Legally, recovery is difficult: government data reveals that only about 6% of fraud chargebacks are successfully recovered, even when reported promptly. The broader societal consequence is a chilling effect on digital payment adoption, undermining India's digital economy goals.

6. Conclusion

UPI fraud has emerged as one of the most pervasive and fast-growing cybercrimes in India, exploiting the very convenience that makes digital payments powerful. The case of Arjun illustrates a pattern repeated hundreds of thousands of times each year — a vulnerable user, an urgent pretext, and a system too fast to reverse. The core vulnerability is not technological but human: fraudsters succeed because victims trust authority, act under pressure, and do not yet know that *entering your UPI PIN always means sending money, never receiving it*. Awareness, critical thinking, and prompt reporting to the National Cyber Crime Portal (cybercrime.gov.in) or Helpline **1930** are the most effective defences available today.